

INDIA — Business Formation Guide

RKPT TECH LTD | Technology & Delivery Hub *Verified against official government sources*
— September 2026

1. Snapshot

Recommended structure	Private Limited Company
Authority	Ministry of Corporate Affairs (MCA) — SPICe+
MCA filing fee	Nil for authorised capital up to ₹15 lakh
Minimum shareholders/directors	2 shareholders, 2 directors (at least one India-resident)
Typical timeframe	~1–3 weeks with clean documentation

2. Recommended Structure

Private Limited Company is standard for operating businesses. Alternatives include LLP, One Person Company (OPC), public company, or a branch/liaison/project office for eligible foreign entities. The right structure depends on ownership, investment, tax position, and whether foreign shareholders are involved.

Key requirement: minimum 2 directors and 2 shareholders (max 200); at least one director must satisfy India's resident-director rule (broadly, resident in India for at least 182 days in the preceding financial year).

3. Company Formation — Step by Step

1. **Determine business structure and ownership** — Indian and/or foreign shareholders, directors, capital
2. **Obtain Digital Signature Certificates (DSCs)** for directors/subscribers

3. **Reserve the company name** — via SPICe+ Part A or combined with incorporation
 4. **Complete SPICe+ Part B** — the main incorporation application (registered office, directors, subscribers, capital, activity)
 5. **Prepare MOA (Memorandum) and AOA (Articles of Association)** — filed electronically as e-MOA/e-AOA
 6. **Provide registered-office documentation** — address proof, utility bill, NOC/lease agreement
 7. **Submit via the MCA V3 portal**
 8. **Receive Certificate of Incorporation, CIN, PAN and TAN** — issued together through the integrated process
 9. **Complete AGILE-PRO-S linked registrations** — GSTIN (where applicable), EPFO, ESIC, professional tax (applicable states), bank account application
 10. **Assess GST registration requirement** based on activity, turnover and state
 11. **Assess FEMA/FDI compliance** if there is any foreign shareholder
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4. Documents & Information Required

- Passport / PAN / Aadhaar for directors and subscribers
 - Digital Signature Certificates (DSC) for signatories
 - Proof of registered office — utility bill plus owner's NOC or lease/rent agreement
 - MOA and AOA
 - Subscriber declarations
 - **Foreign shareholders/directors:** documents executed outside India may require notarisation, apostille, consularisation and certified translation
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5. Costs (Government fees — separated from other costs)

Item	Cost
MCA SPICe+ filing fee	Nil for authorised capital up to ₹15 lakh (slab-based above)

Name reservation (if filed separately, Part A)	~₹1,000
PAN	₹66
TAN	₹65
DSC (per director)	₹800–₹2,500 (higher for foreign nationals)
State stamp duty on MOA/AOA	State-dependent — commonly ~₹500–8,000+ for modest authorised capital (e.g. ~₹610 in Odisha at ₹1 lakh capital vs ~₹7,550 in Madhya Pradesh at the same capital)

Indicative overall budget: approximately **₹10,000–₹30,000+** for a straightforward 2-director private limited company with modest authorised capital, including government fees, stamp duty, DSCs and basic professional assistance. Foreign-owned structures cost considerably more due to apostille/legalisation, FEMA/FDI compliance and additional professional advice.

6. Timeframe

Stage	Indicative time
Name reservation	1–3 working days
DSC issuance	1–2 days
Incorporation approval	4–10 working days once filed
Full straightforward application	~1–3 weeks (7–15 working days) with clean documentation
Foreign-investment or MCA-query cases	Longer — assess case by case

7. Tax & Compliance

Item	Rate / Threshold
Corporate tax (domestic company)	22%–30% (effective ~25.17% under the concessional regime for many companies; new manufacturing companies may qualify for 15%)
GST slabs	5%–28%
GST registration threshold	₹40 lakh (goods) / ₹20 lakh (services); lower thresholds apply in special-category states

Foreign investment (FEMA/FDI): most sectors permit 100% FDI under the automatic route; some sectors have caps or require government approval; investment from land-border countries (including China) requires prior government approval. An **FC-GPR filing with the RBI**, via an Authorised Dealer bank, is required within 30 days of share allotment.

Ongoing obligations: MCA/ROC filings, annual return, financial statements, income tax, GST returns (where registered), TDS, payroll, EPFO/ESIC, professional tax, statutory audit where applicable, FEMA/RBI reporting for foreign-owned entities.

8. Important Information

- **India has no single national incorporation fee.** The government cost is driven almost entirely by state stamp duty, which varies by a factor of 10x or more between states for the same authorised capital — always confirm the specific state's stamp duty before quoting a budget.
- **The resident-director requirement is mandatory**, not optional — every Indian private limited company needs at least one director who satisfies the residency test, regardless of how many other (foreign) directors there are.
- **Foreign shareholder documentation adds real time and cost.** Corporate documents and resolutions from a foreign parent, and any document executed outside India, may need notarisation, apostille, consularisation and certified translation before they can be used.
- **Immigration is separate from incorporation.** The **e-Business Visa** allows eligible foreign nationals up to 180 days per visit over a 1-year multiple-entry period, but cannot be extended or converted within India. Incorporation does not itself confer any immigration right.

Disclaimer: Fees, thresholds and requirements change and should be reconfirmed at mca.gov.in or the relevant state authority before reliance. This is general information, not

legal, tax or immigration advice.

9. Official Sources (checked September 2026)

- Ministry of Corporate Affairs (MCA) — <https://www.mca.gov.in>
- Income Tax Department — <https://www.incometax.gov.in>
- GST Portal — <https://www.gst.gov.in>
- Reserve Bank of India (RBI — FEMA/FDI) — <https://www.rbi.org.in>
- DPIIT (FDI policy, Startup India) — <https://dpiit.gov.in>
- Bureau of Immigration — <https://boi.gov.in>